UNIT IV

Text Book - 3,4 [CO:4] (10)

MSME and Support Agencies: Meaning of MSME-Definitions of MSME, Characteristics of MSME-Relationships of MSME- Certificate of MSME - Make in India concept of MSME-

Commercial Banks- financial institutions-(KVIC) Khadi and Village Industries Commission- (SIDO) Small Industries Development Corporation -(NSIC) National Small Industries Corporation-(NPC) National productivity council-(DIC) District Industries Centre- (SFC) State Financial corporation.

भारत सरकार
GOVERNMENT OF INDIA

सूक्ष्म , लघु और मध्यम उद्यम मंत्रालय
MINISTRY OF MICRO, SMALL & MEDIUM ENTERPRISES, GOI

सत्यमेव जयते

सूक्ष्म , लघु और मध्यम उद्यम मंत्रालय
MINISTRY OF
MICRO, SMALL & MEDIUM ENTERPRISES

Highlights of Budget 2021-22 for MSME Sector

- Review of more than 400 old customs duty exemptions this year
- Rationalising exemptions on import of duty-free items as an incentive to exporters of garments, leather and handicraft items. Most of these are manufactured by MSMEs
- To further reduce compliance burden, limit increased for tax audit from Rs 5 crore to Rs 10 crore

MINISTRY OF MICRO, SMALL AND MEDIUM ENTERPRISES

NOTIFICATION

New Delhi, the 1st June, 2020

S.O. 1702(E).—In exercise of the powers conferred by sub-section (1) read with sub-section (9) of section 7 of the 'Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006) and in supersession of the notification of the Government of India, Ministry of Small Scale Industries, dated the 29th September, 2006, published in the Gazette of India, Extraordinary, Part II, Section3, Sub-section(ii), vide S.O. 1642(E), dated the 30th September 2006 except as respects things done or omitted to be done before such supersession, the Central Government, hereby notifies the following criteria for classification of micro, small and medium enterprises, namely:—

(i) a micro enterprise, where the investment in Plant and Machinery or Equipment does not exceed one crore rupees and turnover does not exceed five crore rupees;

(ii) a small enterprise, where the investment in Plant and Machinery or Equipment does not exceed ten crore rupees and turnover does not exceed fifty crore rupees;

(iii) a medium enterprise, where the investment in Plant and Machinery or Equipment does not exceed fifty crore rupees and turnover does not exceed two hundred and fifty crore rupees.

This notification shall come into effect from 01.07.2020.

[F. No. 2/1(5)/2019-P&G/Policy (Pt.-IV)]

A. K. SHARMA, Secy.

- Micro Enterprise:
  - Investment – Up to INR 1 Crore
  - Turnover – Up to INR 5 Crore
- Small Enterprise:
  - Investment – Up to INR 10 Crore
  - Turnover – Up to INR 50 Crore
- Medium Enterprise:
  - Investment – Up to INR 50 Crore
  - Turnover – Up to INR 250 Crore

Revised Classification applicable w.e.f 1 July 2020

Composite Criteria: Investment in Plant & Machinery/equipment and Annual Turnover

CLASSIFY

Manufacturing Enterprises and Enterprises rendering Services

MICRO

Investment in Plant and Machinery or Equipment: Not more than INR 1 cr and Annual Turnover; not more than INR 5 cr

SMALL

Investment in Plant and Machinery or Equipment: Not more than INR 10 cr and Annual Turnover; not more than INR 50 cr

MEDIUM

Investment in Plant and Machinery or Equipment: Not more than INR 50 cr and Annual Turnover; not more than INR 250 cr

Organisation Setup and Function

Ministry of Micro, Small and Medium Enterprises

Vision, Mission and Function of Ministry of MSME

Vision:

SUSTAINABLE DEVELOPMENT OF GLOBALLY COMPETITIVE MICRO, SMALL AND MEDIUM ENTERPRISES AS AN ENGINE OF GROWTH FOR THE INDIA ECONOMY.

Mission:

PROMOTE GROWTH AND DEVELOPMENT OF MICRO, SMALL AND MEDIUM ENTERPRISES, INCLUDING KHADI, VILLAGE AND COIR INDUSTRIES SO AS TO CREATE NEW ENTERPRISES AND MORE EMPLOYMENT OPPORTUNITIES. THE LONG TERM GOAL OF THE MINISTRY IS TO ENHANCE MANUFACTURING BASE IN THE COUNTRY BY IMPROVING PERFORMANCE OF MSMES THROUGH SKILL AND ENTREPRENEURSHIP DEVELOPMENT.

Functions:

» Facilitation and credit flow to MSMEs

» Improving competitiveness of MSMEs

» Improve manufacturing base through upgradation of technology

» Promotion of MSMEs through cluster bases approach

» Marketing support to MSMEs

» Skill development and entrepreneurship development training

» Creation of new Micro Enterprises through Prime Minister's Employment Generation Program (PMEGP)

» Growth and development of Khadi and Village Industries (KVI) sector

» Growth and development of Coir Industry

Certificate of MSME

UDYAM REGISTRATION PORTAL

Except this portal of Government of India and Government's Single Window Systems, no other private online or offline system, service, agency or person is authorized or entitled to do MSME Registration or undertake any of the activity related with the process.

Important to Know

Important to Know

An enterprise shall be classified as a micro, small or medium enterprise on the basis of the following criteria, namely: --

(i) a micro enterprise, where the investment in plant and machinery or equipment does not exceed one crore rupees and turnover does not exceed five crore rupees;

(ii) a small enterprise, where the investment in plant and machinery or equipment does not exceed ten crore rupees and turnover does not exceed fifty crore rupees; and

(iii) a medium enterprise, where the investment in plant and machinery or equipment does not exceed fifty crore rupees and turnover does not exceed two hundred and fifty crore rupees.

For the detailed legal framework for classification of MSMEs and Procedure for their Registration Click Here

Must Know

Must Know

Government has organised a full system of Facilitation for Registration Process

An enterprise for the purpose of this process will be known as Udyam and its Registration Process will be known as 'Udyam Registration'

A permanent registration number will be given after registration.

After completion of the process of registration, a certificate will be issued online.

This certificate will have a dynamic QR Code from which the web page on our Portal and details about the enterprise can be accessed.

There will be no need for renewal of Registration.

Our single window systems at Champions Control Rooms and at DICs will help you in the process.

Registration Process is totally free. No Costs or Fees are to be paid to anyone.

Must Follow

Must Follow

MSME Registration is free, paperless and based on self- declaration

MSME registration process is fully online, paperless and based on self-declaration.

No documents or proof are required to be uploaded for registering an MSME.

Only Adhaar Number will be enough for registration.

PAN & GST linked details on investment and turnover of enterprises will be taken automatically from Government data bases.

Our online system will be fully integrated with Income Tax and GSTIN systems.

Having PAN and GSTIN (As per applicablity of CGST Act 2017 and as notified by the ministry of MSME vide S.O. 1055(E) dated 05th March 2021) is required for Udyam Registration with effect from 01.04.2021.

Those who have EM-II or UAM registration or any other registration issued by any authority under the Ministry of MSME, will have to re-register themselves.

No enterprise shall file more than one Udyam Registration. However, any number of activities including manufacturing or service or both may be specified or added in one Registration.

MSME (Udyam) Registration

Welcome For

MSME (Udyam) Registration

MINISTRY OF MICRO, SMALL & MEDIUM ENTERPRISES
GOVERNMENT OF INDIA

Entrepreneurs and MSMEs!

1. You should register only on a Government portal.
2. The Government's Udyam Registration portal opens with the URL **https://udyamregistration.gov.in**
3. A Government portal or website will mostly show & have .gov.in in the URL.
4. The site/portal will also have (MSME) Ministry or Mantralay written on it.
5. It will also have National Emblem on the portal.
6. Entire process of Registration is totally free of cost. No payments are to be made to anyone anywhere.
7. Any portal or agency asking for any payment or money can not be a Government agency or system. Please be careful and avoid such agencies. DO NOT PAY ANY MONEY.
8. On completion of process, the Registration Certificate will be generated & sent to you. Or you can print from the Government portal itself.
9. Other 8 domains as below owned by Govt have also been directed to the above main domain.
   - https://udyam.gov.in
   - Udyamregistration.biz
   - Udyamregistration.in
   - Udyamregistration.info
   - https://msmeregistration.gov.in
   - Udyamregistration.co.in
   - Udyamregistration.com
   - Udyamregistration.org

BUILD THE ENTERPRISE OF YOUR DREAMS

Register a Micro, Small and Medium Enterprise

Any person who intends to establish a micro, small or medium enterprise may file Udyam Registration online in the Udyam Registration portal, based on self-declaration with no requirement to upload documents, papers, certificates or proof.

On registration, an enterprise (referred to as "Udyam" in the Udyam Registration portal) will be assigned a permanent identity number to be known as "'Udyam Registration Number".

An e-certificate, namely, "Udyam Registration Certificate" shall be issued on completion of the registration process.

MORE ON REGISTRATION PROCESS

1. The form for registration shall be as provided in the Udyam Registration portal.
2. There will be no fee for filing Udyam Registration.
3. Aadhaar number shall be required for Udyam Registration.
4. The Aadhaar number shall be of the proprietor in the case of a proprietorship firm, of the managing partner in the case of a partnership firm and of a karta in the case of a Hindu Undivided Family (HUF).
5. In case of a Company or a Limited Liability Partnership or a Cooperative Society or a Society or a Trust, the organisation or its authorised signatory shall provide its GSTIN and PAN along with its Aadhaar number.
6. In case an enterprise is duly registered as an Udyam with PAN, any deficiency of information for previous years when it did not have PAN shall be filled up on self-declaration basis.
7. No enterprise shall file more than one Udyam Registration: Provided that any number of activities including manufacturing or service or both may be specified or added in one Udyam Registration.
8. Whoever intentionally misrepresents or attempts to suppress the self-declared facts and figures appearing in the Udyam Registration or updation process shall be liable to such penalty as specified under section 27 of the Act.

FOR EXISTING ENTERPRISES

1. All existing enterprises registered under EM–Part-II or UAM shall register again on the Udyam Registration portal on or after the 1st day of July, 2020.
2. All enterprises registered till 30th June, 2020, shall be reclassified in accordance with this notification.
3. The existing enterprises registered prior to 30th June,2020, shall continue to be valid only for a period up to the 31st day of December, 2021.
4. An enterprise registered with any other organisation under the Ministry of Micro, Small and Medium Enterprises shall register itself under Udyam Registration.

Benefits of Registration as MSME (Udyam)

1. MSME enterprises can get finance facilities from Banks without collateral requirements
2. Schemes by the Central Government for the development of MSMEs
3. Subsidies and Government Schemes to promote specific industries
4. Reservation of Products to be produced by MSMEs only
5. Concession/ subventions on Bank Interest and Debt servicing
6. Concession on Taxation
7. Preference in procuring Government tenders,
8. Stamp duty and Octroi benefits,
9. Concession in electricity bills
10. Reduced fees for Trademark registration
11. Reservation policies to manufacturing/ production sector enterprises
12. No more delayed payment troubles
13. Time-bound resolution of disputes with Buyers through conciliation and arbitration
14. Reimbursement of ISO Certification expenses
15. Foreign Business Expo
16. Facilities for Upgradation of Technology used in the industry

What is MSME? –

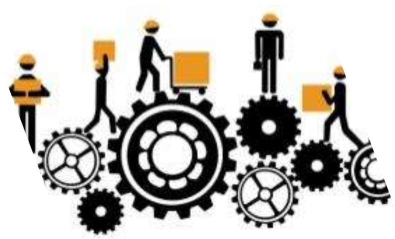
MSME stands for Micro, Small, and Medium Enterprises. In accordance with the Micro, Small, and Medium Enterprises Development (MSMED) Act in 2006, the enterprises are classified into two divisions.

1.Manufacturing enterprises – engaged in the manufacturing or production of goods in any industry

2.Service enterprises – engaged in providing or rendering services

The MSME sector is an important pillar of Indian economy as it contributes greatly to growth of Indian economy with a vast network of around 30 million units, creating employment of about 111 million, manufacturing more than 6000 products, contributing about 45% to manufacturing output and about 40% of exports, directly and indirectly.
This sector even assumes greater importance now as the country moves towards a faster and inclusive growth agenda. Moreover, it is the MSME sector which can help realize the target of proposed National Manufacturing Policy of raising the share of manufacturing sector in GDP from 16% at present to 25% by the end of 2022.

633 LAKH
MSME UNITS



111 MILLION
EMPLOYMENT

25% GDP

40% EXPORT

Features of MSMEs

Here are some of the essential features of MSMEs

1.MSMEs are known to provide reasonable assistance for improved access to the domestic as well as export markets for businesses

2.MSMEs support product development, design innovation, intervention, and packaging elements of a business

3.MSMEs support the upgrading of technology, infrastructure, and the modernization of this sector as a whole

4.MSMEs provide employment opportunities and loans

5.MSMEs provide credit limits or funding support to various banks in the country

Role of MSMEs in the Indian Economy

The MSME sector has proven to be a highly dynamic factor in the forecasting of the Indian economy. Since MSMEs produce and manufacture a variety of products for both domestic as well as international markets, they have helped promote the growth and development of various product segments and industries.

MSMEs have played an essential role in providing employment opportunities in underprivileged areas. They have helped in the industrialization of such areas with a low capital cost compared to the larger industries in cities. MSMEs have also contributed and played an essential role in the country's development in different areas like the requirement of low investment, flexibility in operations, low rate of imports, and a high contribution to domestic production.

Old MSME definition based on investment, MSMED Act, 2006

Manufacturing Sector	
Enterprises	**Investment in plant and machinery**
Micro enterprises	< or = Rs 25 lakh
Small enterprises	> Rs 25 lakh < Rs 5 crore
Medium enterprises	> Rs 5 crore < Rs 10 crore

New MSME definition based on investment and turnover (2020)

On 1st June, Monday, the Union Cabinet headed by Prime Minister Narendra Modi officially revised the MSME definition. The recent changes in the definition of micro, small, and medium-sized enterprises made as a part of the Atmanirbhar Bharat Abhiyaan relief package were approved.

The investment and turnover figures were changed to larger values, thereby resulting in a larger number of medium-sized enterprises.

Updated MSME Definition		
Type of enterprise	**Investment**	**Turnover**
Micro	Rs 1 crore	Rs 5 crore
Small	Rs 10 crore	Rs 50 crore
Medium	Rs 50 crore	Rs 250 crore

- The Micro, Small and Medium Enterprises (MSME) sector has emerged as a vibrant and dynamic sector of the Indian economy.
- MSMEs play crucial role in providing large employment opportunities at comparatively lower cost than large industries.
- MSMEs are complementary to large industries as ancillary units and this sector contributes significantly to the socio-economic development of the country.

- Based on their nature, scale, investment limit and turnover, businesses are classified as micro, small or medium enterprises (MSMEs).
- These enterprises are covered under the MSME Development Act, 2006, and are broadly of two types- manufacturing or services.
- Business owners can get registered and get MSME certificates to avail of the benefits made available by the government for the growth and support of such enterprises.
- The government extends support measures in the form of easy credit facilities or policy steps to facilitate their growth.

MSME Clusters

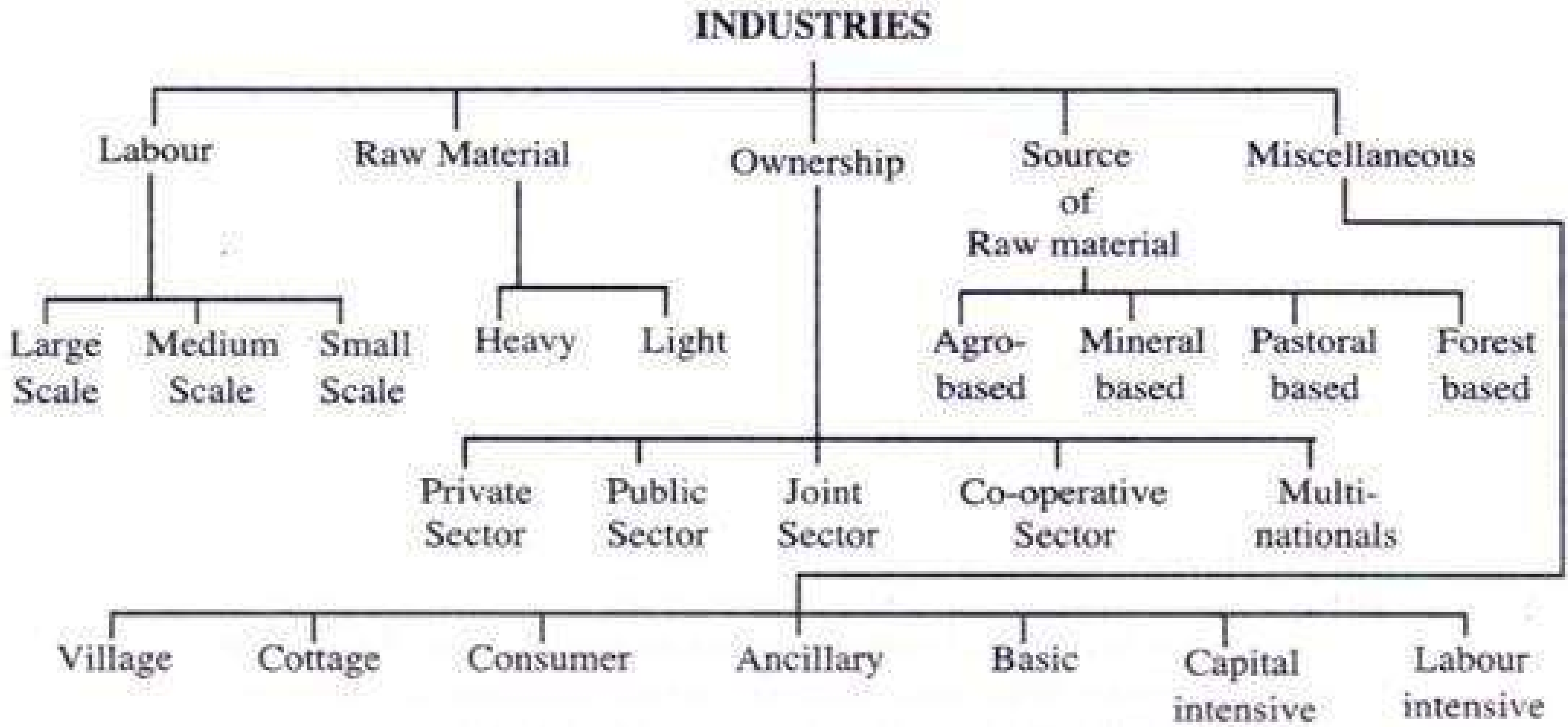
- Maharashtra
- Andhra Pradesh
- Gujarat
- Tamil Nadu
- West Bengal
- Uttar Pradesh
- Kerala

Industry Contacts

- National Small Industries Corporation (NSIC)
- Office of Development Commissioner (MSME)
- Khadi Village Industries Commission (KVIC)
- Coir Board
- National Institute for micro, Small and Medium Enterprises (NIMSME)

To define a small-scale industry effectively, it is imperative to first learn about the meaning of industry.

- ❖The term industry refers to a group of companies that are related to each other, based on the primary business activities they undertake.
- ❖Small scale industries, thus, refer to those partnerships, corporations, or sole proprietorships that function on a lower scale, employing a smaller workforce and generating less revenue than that by normal-sized industries or businesses.


INDUSTRIES
Labour
Raw Material
Ownership
Source of Raw material
Miscellaneous
Large Scale
Medium Scale
Small Scale
Heavy
Light
Agro-based
Mineral based
Pastoral based
Forest based
Private Sector
Public Sector
Joint Sector
Co-operative Sector
Multi-nationals
Village
Cottage
Consumer
Ancillary
Basic
Capital intensive
Labour intensive

In accordance with the small scale business meaning, such industries are characterized by the following features –

1. Ownership: Generally, such businesses are sole proprietorships or, in some cases, partnerships. It means that the ownership of the business rests on a single individual, in most cases.

2. Labor Requirements: Since capital investment in such industries is comparatively lower than that of the large-scale ones these mostly rely on manpower, to carry out production activities.

3. Management: One of the most significant characteristics of SSI is that both the control and management of such businesses lie with owners. The owner, thus, participates actively in the day-to-day business conduction.

4. Flexible: Since they operate on a smaller scale, these industries are more privy to sudden and unforeseen developments on the business front. They are more adaptable to changes in the business environment.

5.Optimal Usage of Resources: Since they do not have excess resources at their disposal, small-scale industries make optimal usage of the available resources without wastage.

6.Operation Restrictions: Most small-scale businesses are limited in their area of operation. As a result, they only operate either locally or regionally.

These are a few of the characteristics of a small business that helps to effectively gauge its operation, administration, and scope.

I. **Village industries**: Village industries are located in villages and primarily cater to the needs of the rural people. They usually employ local machinery such as oil extraction, grain grinding, and agricultural implements.

II. **Cottage industries**: Industries which artisans set up in their own houses, work with wood, cane, brass, stone, etc. are called cottage industries. Handloom, khadi, and leatherwork at the artisan's house fall in this category.

III. **Consumer-based industries:** Consumer industries convert raw materials or primary products into commodities directly used by the people. Textiles, bakeries, sugar, etc. are some of the consumer goods industries.

iv. **Ancillary Industries:** The industries which manufacture parts and components to be used by big industries for manufacturing heavy articles like trucks, buses, railway engines, tractors, etc. are called ancillary industries.

v. **Basic Industries:** Industries on which depend many other industries for their manufacturing processes are called basic industries. The iron and steel industry and power-generating industries are included in this category.

vi. **Capital Intensive Industries:** Industries requiring huge investments are called capital-intensive industries. Iron and steel, cement, and aluminum are outstanding examples of capital-intensive industries.

vii. **Labour Intensive:** Industries that require a huge labour force for running them are called labor-intensive industries. In these industries, labour is more important than capital. Shoe-making and bidi-manufacturing, etc. are included in these industries.

Micro Small Medium Enterprises (MSME): - The **government of India passed an act** regarding the micro, small and medium enterprises based on the efforts made by various associations and other industry forums to overcome the long pending issues for durable growth and development of small scale industries.

- This act is to provide for facilitating the promotion, development and enhancing the competitiveness of MSME.
- The act was created to establish National Board for MSME and its Head Office at Delhi.
- The board should consist of the representatives from government, industry, financial agencies and civil society.

Role of the Act (Importance): -

1. The act provided very clearly the necessary structure and regulatory mechanism to overall development of MSME.
2. The act very clearly defined various types of industries ad services that come under its previ
3. The act simplified the registration process for the industries that come under its preview to overcome the hurdles
4. The act clearly stated that penalties will be there for late payments to MSME's.
5. The act clearly stated specific agenda for future development policies for MSME's.

Opportunities: - The following are some of the opportunities available for MSME.

1. Credit facility.
2. Pronouncement preference policy.
3. Funds.
4. Grants by central government.
5. Establishment of micro and small enterprises facilitation council.

What are the challenges of MSME?

- Most of the unregistered MSMEs would predominantly comprise micro-enterprises, particularly confined to rural India, operating with obsolete technology, limited access to institutional finance etc. And there is a need to transform the huge unregistered MSME into registered MSME.
- Need to improve the competitiveness of the overall MSME sector.
- Access to technology.
- IPR related issues.
- Design as a market driver.
- Wasteful usage of resources/manpower.
- Energy inefficiency and associated high cost.
- Low Information and Communication Technology (ICT) usage.
- Low market penetration.
- Quality assurance/certification.
- Standardization of products and proper marketing channels to penetrate new markets.
- The definition for MSMEs must be updated – considering inflation and availability of better technologies since the last change in 2006.

OVER ALL SUPPORT SYSTEM FOR MSMEs

Central Government

- ✓**MSME MINISTRY**
- ✓**MSME BOARD**
- ✓**MSME DEVELOPMENT ORGANIZATION DC (MSME) & Field Offices**
- ✓**Coir Board**
- ✓**National Small Industries Corporation (NSIC)**
- ✓**Khadi Village Industries Commission (KVIC)**
- ✓**Small Industries Development Bank of India (SIDBI)**

State Government

- ✓**DIRECTORATE OF INDUSTRIES & COMMERCE**
- ✓**DISTRICT INDUSTRIES CENTRE**

सत्यमेव जयते

KHADI & VILLAGE INDUSTRIES COMMISSION

Ministry of Micro, Small & Medium Enterprises, Government of India

Khadi India

HINDI search

THE KHADI AND VILLAGE INDUSTRIES COMMISSION (KVIC) IS A STATUTORY BODY ESTABLISHED BY AN ACT OF PARLIAMENT (NO. 61 OF 1956, AS AMENDED BY ACT NO. 12 OF 1987 AND ACT NO.10 OF 2006. IN APRIL 1957, IT TOOK OVER THE WORK OF FORMER ALL INDIA KHADI AND VILLAGE INDUSTRIES BOARD.

OBJECTIVES

The broad objectives that the KVIC has set before it are...

- The social objective of providing employment.
- The economic objective of producing saleable articles.
- The wider objective of creating self-reliance amongst the poor and building up of a strong rural community spirit.

Functions

Some of the major functions of KVIC are ...

The KVIC is charged with the planning, promotion, organisation and implementation of programs for the development of Khadi and other village industries in the rural areas in coordination with other agencies engaged in rural development wherever necessary.

Its functions also comprise building up of a reserve of raw materials and implements for supply to producers, creation of common service facilities for processing of raw materials as semi-finished goods and provisions of facilities for marketing of KVI products apart from organisation of training of artisans engaged in these industries and encouragement of co-operative efforts amongst them. To promote the sale and marketing of khadi and/or products of village industries or handicrafts, the KVIC may forge linkages with established marketing agencies wherever feasible and necessary. The KVIC is also charged with the responsibility of encouraging and promoting research in the production techniques and equipment employed in the Khadi and Village Industries sector and providing facilities for the study of the problems relating to it, including the use of non-conventional energy and electric power with a view to increasing productivity, eliminating drudgery and otherwise enhancing their competitive capacity and arranging for dissemination of salient results obtained from such research. Further, the KVIC is entrusted with the task of providing financial assistance to institutions and individuals for development and operation of Khadi and village industries and guiding them through supply of designs, prototypes and other technical information. In implementing KVI activities, the KVIC may take such steps as to ensure genuineness of the products and to set standards of quality and ensure that the products of Khadi and village industries do conform to the standards.

The KVIC may also undertake directly or through other agencies studies concerning the problems of Khadi and/or village industries besides research or establishing pilot projects for the development of Khadi and village industries.

The KVIC is authorized to establish and maintain separate organisations for the purpose of carrying out any or all of the above matters besides carrying out any other matters incidental to its activities.

Khadi and Village Industries Commission (KVIC)

- Khadi and Village Industries Commission (KVIC) is a statutory body of the Indian Constitution.
- It comes under the Ministry of Micro, Small and Medium Enterprises.
- It was established by Khadi and Village Industries Act, 1956.
- It has been amended twice, in 1965 and 2006.
- It is one among the important constitutional, statutory and quasi-judicial bodies of India.

Objectives of KVIC

The broad objectives of the Khadi Village and Industries Commission encompassing self-reliance and sustainability are:

1.To boost employment in the country.

2.To promote the promotion and sale of Khadi articles

3.To cater to the self-reliance doctrine of the country by empowering underprivileged and rural sections of the society.

Mission of the Organs of KVIC

There are five organs of KVIC as mentioned above. The mission of each organ is given in brief below:

1.Organization: KVIC aims to take responsibility to develop KVI and unburden the government.

2.Community: To enable the rural community through promoting security for life.

3.Village Industry – To increase productivity in KVI sectors.

4.Market – To aid the sales and marketing of KVI products.

5.Heritage – To protect the socio-cultural value as a national asset.

Khadi India

Official e-Commerce Website of Khadi India. BETA

It has brought KVIC e-portal for Khadi institutions that help artisans promote and sell their KVI products across India.

Khadi Organique Soap Kit (set ...

Khadi Organique Travel Kit

Khadi Organique Red Onion H...

Khadi Organique Activated Ch...

Khadi Natural Soap Kit Set Of ...

Women

View More

Khadi Cotton Elaksh Sky Blue ...

Khadi Cotton Elaksh Tender G...

Khadi Cotton Elaksh Tender Iv...

Cotton Daivi Ivory Printed Dre...

Khadi Cotton Aarya Sun Yello...

Men

View More

★★★★★
White Shirt with Contrast Det...

★★★★★
Blue Slub Kurta

★★★★★
Brown Slub Modi Jacket

★★★★★
Classic Modi Jacket

★★★★★
Reddish Green Embroidered K...

Accessories

View More

★★★★★
North East essence Kauna Gra...

★★★★★
Tricolor Khadi Soot Mala (Kha...

★★★★★
Khadi Rumal - Pack of Five - 10...

★★★★★
Ladies' Khadi Signature Watch...

★★★★★
Herbal Comb Traveller - 10089

Beauty

View More

15% off

★★★★★
Khadi Organique Neem face w...

★★★★★
Honey Herbal Sat Hair Cleans...

★★★★★
Khadi India AVS Balaji Herbal ...

★★★★★
Khadi Natural Orange Lemong...

★★★
Vagad's Khadi Black Mehndi H...

Gifts & Toys

View More

★★★★★
Vagad's Khadi Travel Kit - 30Ml...

★★★★★
Khadi India Anayesha Green T...

30% off

★★★★★
Handmade Bunny with Specs ...

30% off

★★★★★
Handmade Tweety Stocking S...

★★★★★
Khadi India Anayesha Rose Gif...

Khadi Home

View More

Hand Tie & Dye Handwoven B...

White Dial Watch Memento

Wrought Iron Handcrafted Tri...

Biowall Active & Easyclean Det...

Bamboo Pen Holder Memento

Essentials

Earth Face Mask (Pack of 2)

Three pleats Two inner layers ...

Triple Layered, Three pleats T...

Khadi Silk Mask (Non Printed) ...

KHADI SILK MASK (PRINTED) A...

Fabric

View More

★★★★★

Handloom Cotton Fabric Yard...

★★★★★

Cotton Muslin Off-white Fabri...

★★★★★

Polyvastra Cotton Khadi ST - ...

★★★★★

Polyvastra Cotton Khadi DT - ...

★★★★★

Muslin cotton ST- white

Grocery

View More

★★★★★

Khadi Honey Gift Box (9 x 50 g...

★★★★★

Beeshive Organic Ginger Mura...

★★★★★

Zilli's Tamarind Powder, Red O...

★★★★★

BeejMantra Coldpressed Orga...

★★★★★

CandidOrga Coldpressed (Woo...

Wellness

View More

★★★★★
Khadi India AVS Balaji Ashwag...

★★★★★
Meghdoot Triphla Prash 1Kg (...

★★★★★
Meghdoot CIM MEG 19 Immun...

★★★★★
Vedic Roots Pain Guard Capsul...

★★★★★
Beeshive Organic Propolis Tin...

Premium Apparel

View More

★★★★★
Aqua Green Chanderi Saree

★★★★★
Multicolor Abstract Digital Pri...

★★★★★
Two Tone Silk Beige Saree

★★★★★
Digital Print Rustic Floral Saree

★★★★★
Beige Chanderi Saree

Functions of KVIC

The following are the functions of Khadi Village and Industries Commission:

1.It **plans, promotes, organizes, and implements** programmes for the development of Khadi and Village Industries (KVI).

2.It coordinates with **multiple agencies** that are engaged in rural development for several initiatives w.r.t khadi and village industries in rural areas.

3.It maintains a **reserve of raw materials** that can be further promoted in the supply-chain.

4.It aids in creating **common service facilities** that help in processing of raw materials.

5.It aids the marketing of KVI products through **artisans and other avenues**.

6.It creates linkages with multiple marketing agencies for the **promotion and sale** of KVI products.

7. It encourages and promotes **research and development** in the KVI sector.

8. It brings **solutions to the problems** associated with the KVI products by promoting research study and enhancing competitive capacity.

9. It also helps in providing **financial assistance to the individuals and institutions** related to the khadi and village industries.

10. It enforces guidelines to comply with **the product standards to eliminate the production of ingenuine products.**

11. It is empowered to **bring projects, programmes, schemes** in relation to khadi and village industries’ development.

1.KVIC is the nodal agency to develop clusters for Khadi production under **Scheme of Fund for Regeneration of Traditional Industries (SFURTI).**

What is the SFURTI Scheme?

It was launched in 2005 to promote cluster development of traditional industries and artisans. The major objectives of this scheme are:

1. Promote sustainable employment among traditional artisans.
2. To boost sales of traditional products.
3. To bring the capacity building in the artisans.
4. To strengthen cluster governance systems
5. To establish traditional industries and artisans in the e-space.

KVIC – PMEGP

KVIC is also the nodal agency for the implementation of the **Prime Minister Employment Generation Programme (PMEGP).**

1. It is a credit-linked subsidy scheme which aims at generating employment by setting up micro-enterprise in the non-farm sector both in rural and urban areas.
2. It was set up in 2008
3. It is a central sector scheme.

NATIONAL SMALL INDUSTRIES CORPORATION (NSIC)

The National Small Industries Corporation (NSIC), an enterprise under the union ministry of industries was set up in 1955 in New Delhi to promote aid and facilitate the growth of small scale industries in the country. NSIC offers a package of assistance for the benefit of small–scale enterprises.

1. **Single point registration:** Registration under this scheme for participating in government and public sector undertaking tenders.
2. **Information service:** NSIC continuously gets updated with the latest specific information on business leads, technology and policy issues.
3. **Raw material assistance:** NSIC fulfils raw material requirements of small-scale industries and provides raw material on convenient and flexible terms.
4. **Meeting credit needs of SSI:** NSIC facilitate sanctions of term loan and working capital credit limit of small enterprise from banks.
5. **Performance and credit rating:** NSIC gives credit rating by international agencies subsidized for small enterprises up to 75% to get better credit terms from banks and export orders from foreign buyers.
6. **Marketing assistance programme:** NSIC participates in government

SMALL INDUSTRIES DEVELOPMENT ORGANIZATION (SIDO)

- SIDO is created for development of various small scale units in different areas. SIDO is a **subordinate office** of department of SSI (**Small Scale Industries**) and ARI (**Agro and Rural Industries**).

- It is a **nodal agency** for identifying the needs of SSI units **coordinating and monitoring the policies and programmes for promotion** of the small industries.

- It undertakes various **programmes of training, consultancy, evaluation for needs** of SSI and development of industrial estates.

- All these functions are taken care with 27 offices, 31 SISI (Small Industries Service Institute) 31 extension centers of SISI and 7 centers related to production and process development.

The activities of SIDO are divided into three categories as follows:

(a) Coordination activities of SIDO:

(1) To coordinate various programmes and policies of various state governments pertaining to small industries.

(2) To maintain relation with **central industry ministry, planning commission, state level industries ministry and financial institutions**.

(3) Implement and coordinate in the development of industrial estates.

(b) Industrial development activities of SIDO:

(1) Develop import substitutions for components and products based on the data available for various volumes-wise and value-wise imports.

(2) To give **essential support and guidance** for the development of ancillary units.

(3) To provide guidance to SSI units in terms of **costing market competition** and to encourage them to participate in the **government stores and purchase tenders**.

(4) To recommend the central government for reserving certain items to produce at SSI level only.

(c) Management activities of SIDO:

(1) To provide **training, development and consultancy services** to SSI to develop their competitive strength.

(2) To provide **marketing assistance** to various SSI units.

(3) To assist SSI units in selection of **plant and machinery, location, layout design and appropriate** process.

(4) To help them get **updated in various information** related to the small-scale industries activities.

DISTRICT INDUSTRIES CENTERS (DIC)

- The **District Industries Centers (DIC's)** Programme was started in 1978 with a view to provide integrated administrative framework at the district level for promotion of small scale industries in rural areas.
- The DIC's are envisaged as a **single window interacting agency** at the district level providing service and support to small entrepreneurs under a single roof.
- DIC's are the implementing arm of the **central and state governments** of the various schemes and programmes.
- **Registration of small industries** is done at the district industries centre and PMRY (Pradhan Mantri Rojgar Yojana) is also implemented by DIC.
- The organizational structure of DICS consists of **General Manager, Functional Managers and Project Managers** to provide technical services in the areas relevant to the needs of the district concerned. Management of DIC is done by the state government.

The main functions of DIC are:

(1) To prepare and keep model **project profiles for reference of the entrepreneurs.**

(2) To **prepare action plan** to implement the schemes effectively already identified.

(3) To undertake industrial potential survey and to identify the types of feasible ventures which can be taken up in ISB sector, i.e., **industrial sector, service sector and business sector**.

(4) To guide **entrepreneurs in matters relating to selecting the most appropriate machinery and equipment, sources of it supply and procedure for importing machineries.**

(5) To provide guidance for appropriate **loan amount and documentation**.

(6) To assist **entrepreneurs for availing land and shed equipment and tools, furniture and fixtures.**

(7) To appraise the **worthness of the project-proposals** received from entrepreneurs.

(8) To help the entrepreneurs in obtaining **required licenses/permits/clearance.**

(9) To assist the entrepreneurs in marketing their products and assess the **possibilities of ancillarization.**

(10) To conduct **product development work** appropriate to small industry.

(11) To help the entrepreneurs in **clarifying their doubts about the matters of operation of bank accounts, submission of monthly, quarterly and annual returns to government departments.**

(12) To conduct **artisan training programme**.

(13) To act as the ***nodal agency*** for the district for implementing PMRY (Prime Minister Rojgar Yojana).

(14) To function as the technical consultant of **District Rural Development Agency (DRDA) in administering Integrated Rural Development Programme (IRDP) and Training Rural Youth for Self-Employment (TRYSEM) programme.**

(15) To help the specialized training organizations **to conduct Entrepreneur development programmes.**

- In fine DIC's function as the torch-bearer to the beneficiaries/entrepreneurs in setting up and running the business enterprise right from the concept to commissioning.

- So the role of DIC's in enterprise building and developing small scale sector is of much significance.

National Productivity Council (NPC)

राष्ट्रीय उत्पादकता परिषद्

एक स्वायत्त संगठन उद्योग संवर्धन और आंतरिक व्यापार विभाग,
वाणिज्य एवं उद्योग मंत्रालय के अंतर्गत (भारत सरकार)

NATIONAL PRODUCTIVITY COUNCIL

(An Autonomous Organization under Department for
Promotion of Industry & Internal Trade, Ministry of Commerce & Industry GOI)

National Productivity Council was established and registered as an Autonomous Society under the Societies Registration Act 1860, under the **Department of Industrial Policy and Promotion, Ministry of Commerce and Industry, Government of India on 12th February, 1958** with objective to promote productivity consciousness in the country.

Objectives of the Council

The objectives of the council are:

i. To increase awareness of productivity in general, especially of the concepts and techniques aimed at strengthening the microeconomic foundations of economic development, rooted in operating practices and strategies of the organizations.

ii. To function as a think-tank of Government on measures needed to enhance focus on productivity

iii. To be among the premier productivity consultancy and training organizations of the country in the first phase, and of the South & South East Asian Region in the long run.

iv. To raise financial resources to sustain its operations on its own on a self generating and continuing basis

Functions of the Council

NPC performs all functions necessary to fulfill its objectives and include the following:-

i. **Consultancy to organizations on productivity improvement**

ii. **Training to personnel at different levels**

iii. **Dissemination of Productivity information through seminars, workshops, conferences, etc.**

iv. **Productivity Research and Database**

v. **Productivity Publications**

vi. **Productivity Awards**

Details of Services provided by NPC

Consultancy Services: NPC undertakes for its clients in all sectors of the economy, consultancy services in productivity related subjects, which includes process management, environment management, technology management, energy management, human resource management, agri-business, information technology, strategic productivity management and related fields.

Training Services: NPC offers training services to all levels of industrial personnel on all subjects related to Productivity as stated above. Broadly, there are two categories of training programs, one that is specifically done for a company is known as in-company program and that done where participants from different organizations participate is known as inter-company program. NPC's training programs are known for its practical aspects combined with the theoretical information on the latest developments in the subject.

Seminars, Workshops and Conferences: NPC organizes seminars, workshops and conferences on contemporary subjects of Productivity to enable exchange of information and sharing of experience. These activities are organized with collaboration efforts with many National and International institutions.

Productivity Research and Database: NPC carries out on its own efforts as well as on behalf of client organizations, research activities on productivity policy and implementation areas. It also collects data from primary and secondary sources to generate and disseminate productivity database.

Productivity Publications: NPC brings out periodicals titled 'Productivity' (Quarterly) and 'Productivity News' (Bi-Monthly). It also brings out publications on subjects related to Management and Technology

Productivity Awards: NPC presents National Productivity Awards every year, for best performing units in different categories of Agriculture and Food Processing Sector.

SFC – State Finance Corporation

At present in India, there are 18 state finance corporations (out of which 17 SFCs were established under the SFC Act 1951). Tamil Nadu Industrial Investment Corporation Ltd. which is established under the Company Act, 1949, is also working as state finance corporation.

Organization and Management

A Board of ten directors manages the State Finance Corporations. The State Government appoints the managing director generally in consultation with the RBI and nominates the name of three other directors.

All insurance companies, scheduled banks, investment trusts, co-operative banks, and other financial institutions elect three directors.

Thus, the state government and quasi-government institutions nominate the majority of the directors.

Functions of State Finance Corporations

The various important functions of State Finance Corporations are:

(i) The SFCs provides loans mainly for the acquisition of fixed assets like land, building, plant, and machinery.

(ii) The SFCs help financial assistance to industrial units whose paid-up capital and reserves do not exceed Rs. 3 crore (or such higher limit up to Rs. 30 crores as may be notified by the central government).

(iii) The SFCs underwrite new stocks, shares, debentures etc., of industrial units.

(iv) The SFCs grant guarantee loans raised in the capital market by scheduled banks, industrial concerns, and state co-operative banks to be repayable within 20 years.

Working of SFCs

The Indian government passed the State Financial Corporation Act in 1951. It is applicable to all the States.

- The authorized Capital of a State Financial Corporation should be within the minimum and maximum limits of Rs. 50 lakhs and Rs. 5 crores which are fixed by the State government.

- It is divided into shares of equal value which were acquired by the respective State Governments, the Reserve Bank of India, scheduled banks, co-operative banks, other financial institutions such as insurance companies, investment trusts, and private parties.

- The State Government guarantees the shares of SFCs. The SFCs can augment its fund through issue and sale of bonds and debentures also, which should not exceed five times the capital and reserves at Rs. 10 Lakh.

Problems of State Financial Corporations

No Independent Organization

- All SFCs are dependent upon the rules and regulations made by the state government.
- SFCs' problem is that all decision of these institutions is dependent on the political environment of the state.
- Due to this, the loan is not available at the right time for the right person.

Corruption

- Like other government offices of our country, we can also see the evil of corruption in state financial corporation.
- Hoarding of wealth and money, SFCs' officer object has become to earn by a good or bad way.
- That is the problem that these institutions have no proper transparency like banks.

Effect of the World Bank and WTO Policies

- Approx. all SFCs in India is tied up with World Bank and WTO agreement.
- Due to this, these institutions' decisions are influenced by the World Bank and WTO policies.
- World Bank can easily pressurize for accepting his policies. It may also influence the Indian small scale industry adversely.

Briefly define various prospects of SFCs?

Prospects of State Financial Corporations

Special Help to Women Entrepreneurs: Various state financial corporations like Delhi SFC have state new scheme for helping women entrepreneurs who want to establish their new business in India. This is a very innovative prospect of State financial corporation for the development of women.

Highest loan provider for small scale industry: It is also a good prospect of SFCs that these institutions have provided more than Rs. 6300 crore loan to small scale industry in 2010.

Industrial research: Since establishing SFCI in 1951, SFCs are working for a long period of 59 years in India. So, these financial institutions have a wide range of industrial information. A new entrepreneur can start their industrial research by contacting these institutions if he wants to establish a new business.